

DEUTSCHE BANK COMPLIANCE RISK

BY ELNUR BADALOV AND JAMILA YUSIFOVA

Deutsche Bank



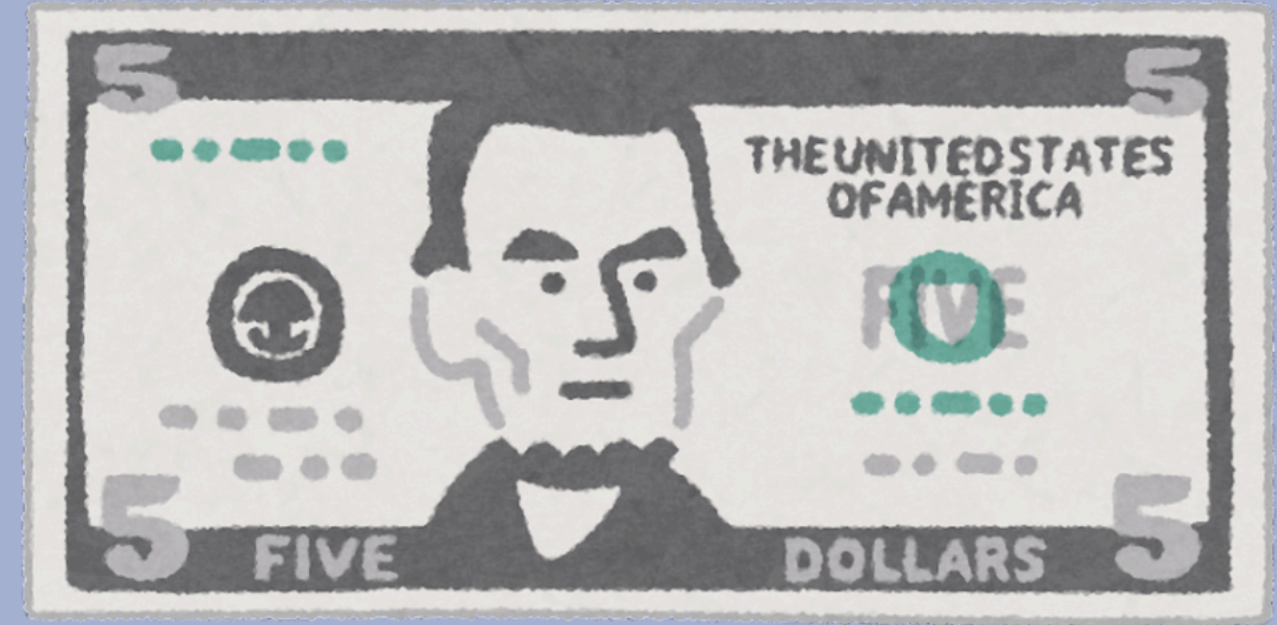
***REGULATORY
LANDSCAPE AND
APPLICABLE
REGULATIONS***

Deutsche Bank

GLOBAL DATA PROTECTION AND PRIVACY



GENERAL DATA PROTECTION REGULATION (GDPR)



*UP TO 4% OF GLOBAL
TURNOVER FOR NON-
COMPLIANCE*



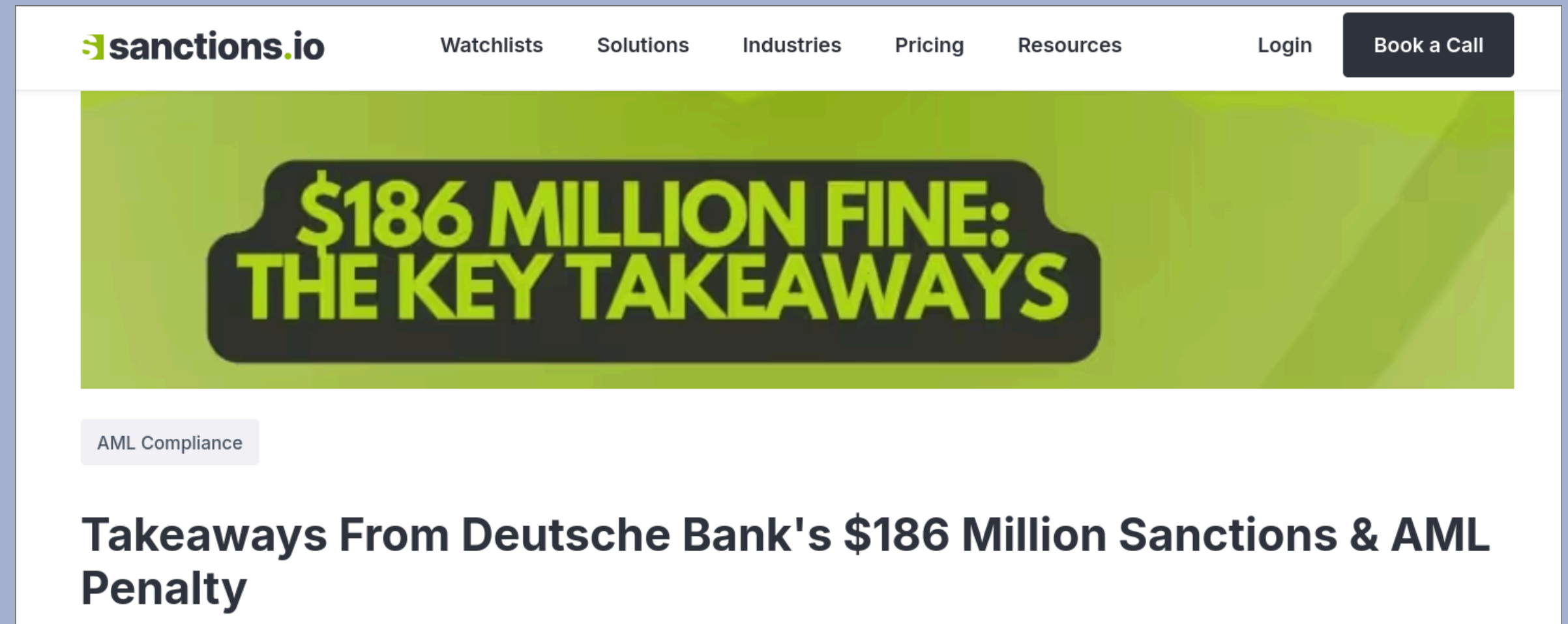
DataGuidance

<https://www.dataguidance.com> > news > italy-garante-fi... ⋮

Italy: Garante fines Deutsche Bank €20000 for data subject ...

Aug 16, 2022 — The Italian data protection authority, Garante, **fined Deutsche Bank** €20,000 for failing to comply with Articles 12(3) and 15 of the **GDPR**, ...

FINANCIAL CRIME AND AML REGULATIONS



The image shows the top portion of the sanctions.io website. The header includes the logo 'sanctions.io' and navigation links for Watchlists, Solutions, Industries, Pricing, Resources, Login, and a 'Book a Call' button. Below the header is a large green banner with the text '\$186 MILLION FINE: THE KEY TAKEAWAYS' in bold white letters. Underneath the banner is a tag 'AML Compliance' and the article title 'Takeaways From Deutsche Bank's \$186 Million Sanctions & AML Penalty'.

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**\$186 MILLION FINE:
THE KEY TAKEAWAYS**

AML Compliance

Takeaways From Deutsche Bank's \$186 Million Sanctions & AML Penalty

- *ANTI-MONEY LAUNDERING (AML)*
- *COUNTER-TERRORIST FINANCING*

Sanctions and AML Violations

As many readers know, this isn't the first time the Frankfurt-based bank has been in the regulatory doghouse in the US.

And here comes a fascinating facet of the latest case:

The Fed issued the latest fine because Deutsche Bank **failed** to make sufficient progress after the Fed and the **New York State Department of Financial Services** levied more than **\$300 million** in penalties on the company between 2015-2017.

FINANCIAL MARKET AND BANKING REGULATIONS



Deutsche Bank AG's US-based securities division has agreed to pay a \$2.5m fine to the Financial Industry Regulatory Authority (FINRA) to settle charges that it violated several research reports pertaining to potential conflicts of interest.

Deutsche Bank fined €23m by German regulator BaFin

Deutsche Bank says it has "accepted a fine of approximately 23 million euros in three regulatory offence proceedings".

CYBERSECURITY AND IT RISK REGULATIONS



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BaFin Fines Deutsche Bank €50,000 Over 2023 IT Security Incident

March 18, 2024, 9:05 PM GMT+4



Alexey Anishchuk
Bloomberg News



German financial supervisory authority BaFin has imposed a fine of €50,000 on Deutsche Bank for providing “false information” about a customer-relevant IT security incident in its payment services in 2023, according to statement.

Bank also informed BaFin significantly late about the incident, the regulator says

**COMPLIANCE GAPS
AND FAILURES
IDENTIFIED AT
DEUTSCHE BANK**

Deutsche Bank

ANTI-MONEY LAUNDERING & KYC DEFICIENCIES

Germany orders Deutsche Bank to do more to prevent money laundering

By Reuters

April 30, 2021 10:52 PM GMT+4 · Updated April 30, 2021



"The order is the result of a constructive supervisory dialogue with the BaFin and reflects that the bank continues to attach the highest priority to detecting and remedying possible weaknesses in control processes," Deutsche Bank said.

In 2017, Deutsche Bank was fined nearly \$700 million for allowing money laundering. The fines stemmed from a scheme of artificial trades between Moscow, London and New York that authorities said were used to launder \$10 billion out of Russia. The U.S.

REGULATORY ENFORCEMENT

BaFin dings Deutsche Bank \$180K over SARs filing delays

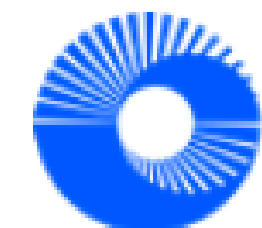
By  Kyle Brasseur | Fri, Oct 20, 2023 9:45 PM

Deutsche Bank was assessed a penalty of 170,000 euros (U.S. \$180,000) by Germany's financial supervisory authority for failing to timely submit suspicious activity reports (SARs).

AML
Intelligence
Business School

The Federal Financial Supervisory Authority (BaFin) announced this week it had imposed administrative fines amounting to the €170,000 on Deutsche Bank AG.

"The fines were imposed because BaFin ascertained that the company submitted suspicious transaction reports with a delay," the authority said.



Compliance
Week

SANCTIONS COMPLIANCE LAPSES

Department of Financial Services



NYDFS Announces Deutsche Bank to Pay \$258 Million, Install Independent Monitor, Terminate Employees for Transactions on Behalf of Iran, Syria, Sudan, Other Sanctioned Entities

DATA PROTECTION AND PRIVACY ISSUES

Berlin SA imposes 300 000 euro fine against bank after lack of transparency over automated rejection of credit card application

31 May 2023

Germany

Background information

- > Date of decision: 31 May 2023
- > Cross-border case or national case: National case
- > Legal references: Art. 5(1)(a) GDPR, Art. 15 (1)(h) GDPR, ...
- > Decision: Administrative fine
- > Key words: Algorithms, Finance



CSO

Deutsche Bank customer data exposed in latest MOVEit exploit

News

Jul 13, 2023 • 3 mins



**LEGAL AND
REPUTATIONAL IMPACT
OF COMPLIANCE
FAILURES**

Deutsche

FINANCIAL PENALTIES

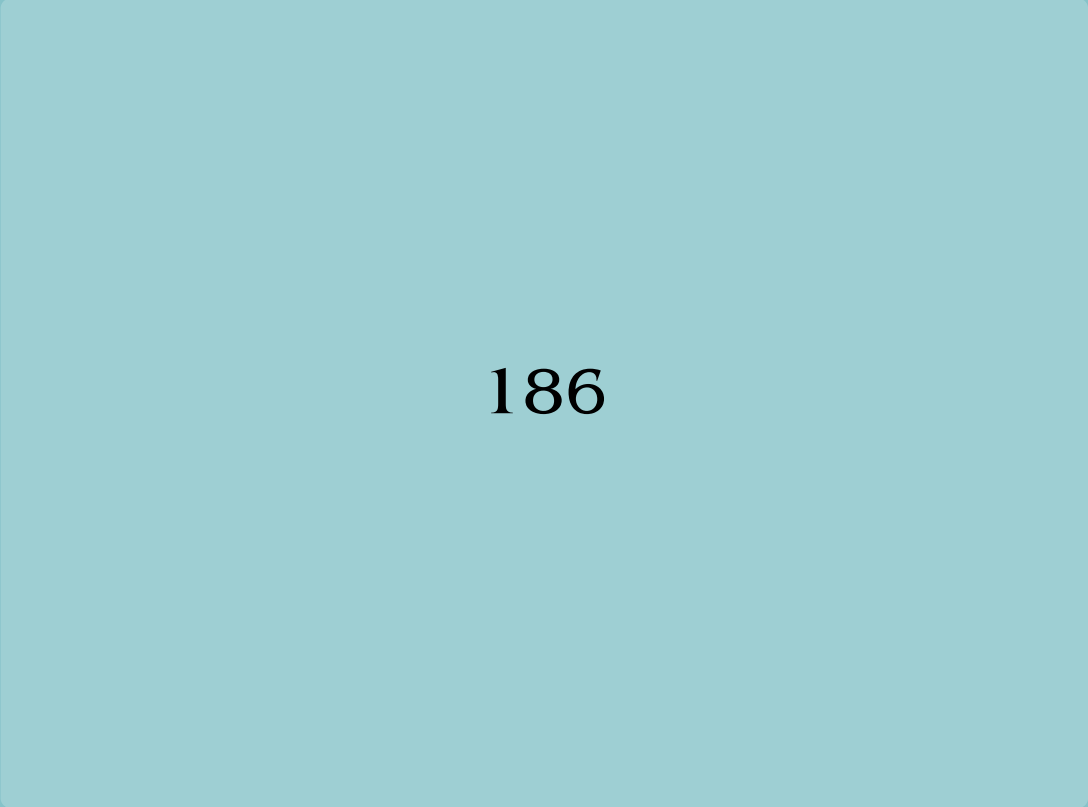
Russian mirror trading scheme fines (US & UK regulators)



OFAC sanctions violations (NYDFS settlement)



Fed penalty for AML/sanctions c...



Insufficie...



BaFin fi...



LEGAL IMPACT



REPUTATIONAL DAMAGE

REGULATORY ENFORCEMENT

Deutsche Bank confirms AML raid at German headquarters

By  Kyle Brasseur | Mon, May 2, 2022 6:29 PM

Deutsche Bank confirmed its Frankfurt headquarters were raided by German prosecutors in relation to a money laundering probe regarding suspicious activity reports filed by the bank.

Germany orders Deutsche Bank to do more to prevent money laundering

By Reuters

April 30, 2021 10:52 PM GMT+4 · Updated April 30, 2021



Aa



The headquarters of Germany's Deutsche Bank are pictured in Frankfurt, Germany, September 21, 2020. REUTERS/Ralph Orłowski [Purchase Licensing Rights](#)

***MITIGATION
STRATEGIES AND BEST
PRACTICES FOR
COMPLIANCE RISK***

Deutsche Bank

STRENGTHEN THE COMPLIANCE GOVERNANCE AND CULTURE

- *TONE OF **ZERO TOLERANCE** FOR COMPLIANCE BREACHES*
- *AN INDEPENDENT AND WELL-RESOURCED **COMPLIANCE/AFC**
(ANTI-FINANCIAL CRIME) DEPARTMENT*

ENHANCE INTERNAL CONTROLS AND MONITORING

- ***THREE LINES OF DEFENSE***
 - *OWNING THE RISK*
 - *COMPLIANCE/RISK MANAGEMENT MONITORING AND
ADVISING*
 - *INTERNAL AUDIT*
- ***REGULAR RISK ASSESSMENTS***
- ***SEGREGATION OF DUTIES***

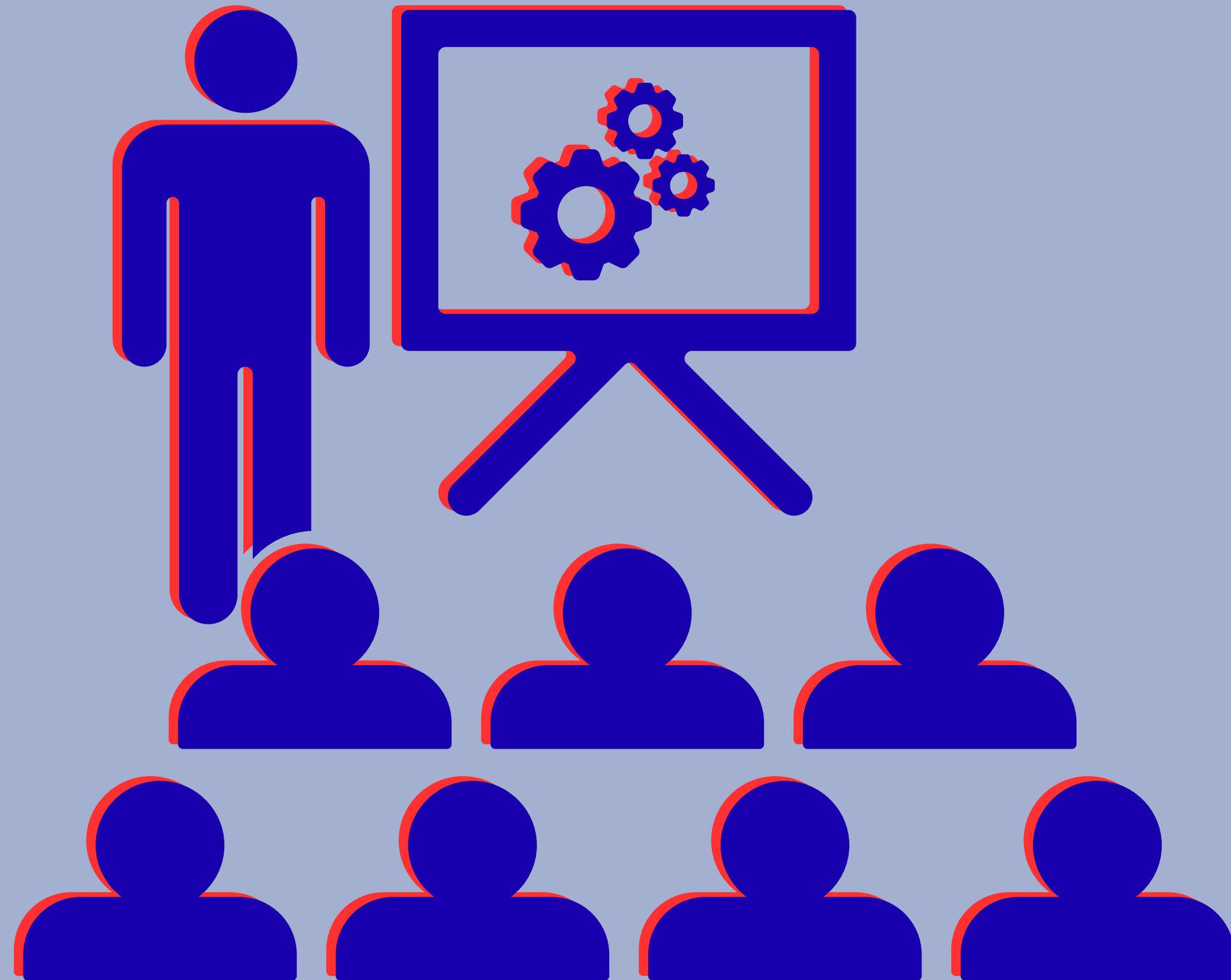
INVEST IN TECHNOLOGY AND DATA MANAGEMENT

- **AML**
- **DLP**
- **GRC SOFTWARE**

INCIDENT RESPONSE AND REGULATORY COMMUNICATION

- ***INCIDENT RESPONSE** PLAN*
- ***SIMULATIONS** OF VARIOUS
INCIDENT SCENARIOS*
- *A 24/7 **SOC** TEAM*

TRAINING AND AWARENESS



STRENGTHEN **CUSTOMER DUE DILIGENCE** AND REMEDIATION

ADOPT INDUSTRY BEST **PRACTICES** AND **FRAMEWORKS**

ENGAGE WITH **REGULATORS** PROACTIVELY

Deutsche Bank



THANKS!

Deutsche Bank



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